

July 29, 2026 02:44 AM GMT

Coca-Cola Co. | North America

Pouring It On: Reiterate OW as Top Pick Post a Strong Q2

WHAT'S CHANGED

Coca-Cola Co. (KO.N)	From	To
Price Target	\$89.00	\$100.00

Coke remains our Top Pick, with outsized OSG vs peers confirmed by strong 5% unit case vol growth/7% underlying OSG in Q2, and sustained competitive advantage vs peers, alongside more robust and sustained pricing power vs CPG peers in general.

Reiterate OW as Top Pick: KO's stock jumped 5.0% today (vs the S&P up +0.2%) on stronger than expected 2Q results driven by robust OSG. Even with a high bar, KO's Q2 results were impressive, with strong 5% unit case growth far above the 2.2% consensus, as well as Coke's 1.1% last nine quarter avg., and 7% OSG (using unit cases and 2% price/mix with 3% underlying price offset partially by -1% mix) above the 5.0% consensus. FY OSG of 5% moved to the high end of the prior 4-5% FY range but looks conservative, and comparable FY EPS moved up by ~100 bps. Q2 was boosted by an easy -1% unit case comparison, the World Cup, hot weather in Europe, and the America 250 celebration, but even after these factors, the level of Q2 unit case growth was still impressive, and Q2 tailwinds also drive strong visibility for Q3 given they continued in July. We also note Coke posted solid 3% unit case growth in Q1, which at the time was the strongest growth since the 3% result in Q1 of 2023. Bottom line, Coke's OSG remains in a different stratosphere than its mega-cap staples peers, and KO appears to be managing well the planned YTD shift in OSG balance more to volume from outsized price/mix in recent years. Net, the quarter instills further confidence in our view that Coke offers outsized OSG vs peers.

We also see continued catalysts over the next few quarters, including: 1) underappreciated growth contribution from the Fairlife business (we calculate 100+ bps to corporate OSG LT-see below), with acceleration ST as capacity ramps up. We see Fairlife as well positioned LT in high growth segments and poised for continued share gains, driven by its proprietary ultra-filtration process and Coke's distribution capabilities. Coke's 18% yoy Fairlife growth in Q2 highlights the brand's potential as capacity ramps up, even as constraints remained in place during the quarter. 2) We expect CSD pricing to remain strong with key peers PEP and KDP likely to continue to take price as they look to drive profit amid weakness in their respective ancillary business (snacks/coffee). 3) KO continues to outperform peers in US scanner data, which is key to sentiment in the highly visible region, and should continue behind KO share gains and as Fairlife and Topo Chico capacity ramps back up (on top of favorable CSD pricing mentioned in point 2). Post 2Q results, we raise our EPS by 1% to the high-end of KO's FY range, and our PT to \$100 from \$89, based on 26 times

MORGAN STANLEY & CO. LLC		
Dara Mohsenian, CFA		
Equity Analyst		
Dara.Mohsenian@morganstanley.com		+1 212 761-6575
Eric A Serotta, CFA		
Equity Analyst		
Eric.Serotta@morganstanley.com		+1 212 761-2370
Patty Kanada, CFA		
Equity Analyst		
Patty.Kanada@morganstanley.com		+1 212 761-1019
Kenneth Tan		
Research Associate		
Kenneth.Tan@morganstanley.com		+1 212 761-4954
Josh Haubenstock		
Research Associate		
Josh.Haubenstock@morganstanley.com		+1 212 761-1059

Coca-Cola Co. (KO.N, KO UN)
Top Pick

Beverages | United States of America

Stock Rating	Overweight
Industry View	Attractive
Price target	\$100.00
Shr price, close (Jul 28, 2026)	\$88.27
Mkt cap, curr (mm)	\$380,788
52-Week Range	\$90.22-65.36

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$) **	3.00	3.30	3.54	3.80
Prior EPS (\$) **	-	3.26	3.51	3.75
EPS (\$) §	2.99	3.27	3.48	3.71
P/E	23.3	26.8	25.0	23.2
Div yld (%)	2.9	2.4	2.5	2.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

CY28 EPS.

Exhibit 1: Fairlife Should Add 100+ Bps Per Year to KO's Corporate Sales Growth

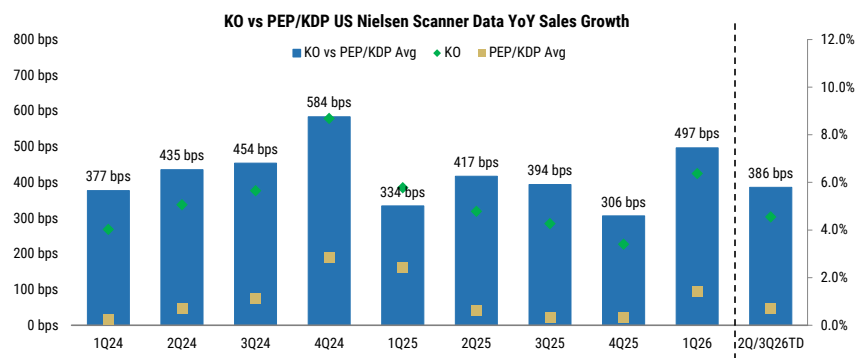
Fairlife Contribution to Coke Corporate Sales Growth (Bps)

		Fairlife Sales CAGR					
		10%	15%	20%	25%	30%	35%
% of KO Sales	3%	30	45	60	75	90	105
	4%	40	60	80	100	120	140
	5%	50	75	100	125	150	175

Source: Morgan Stanley Research estimates

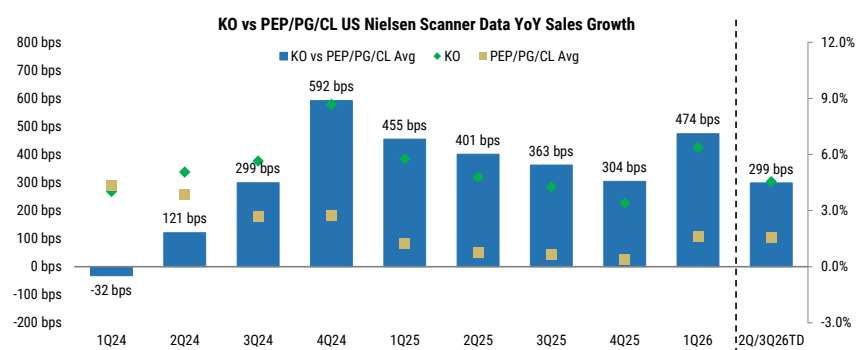
Continued KO US Scanner Data Outperformance: KO continues to outperform peers in US scanner data with 400 bps of outperformance in Q2/Q3TD (we use data through early July given Prime Day timing impacts yoy) vs beverage peers and nearly 300 bps vs mega-cap peers.

Exhibit 2: KO YoY US Scanner Sales Growth Consistently Much Stronger Than PEP/KDP



Source: NielsenIQ Discover, Morgan Stanley Research

Exhibit 3: KO YoY US Scanner Sales Growth Ahead of Mega-Cap Peers



Source: NielsenIQ Discover, Morgan Stanley Research

Regional Unit Case Results: KO beat consensus unit case growth in every region for a 5% result far above the 2.2% consensus, although total price/mix of 2% was below the 2.7% consensus, dragged down by Asia -9%. At the product category level, unit cases for sparkling soft drinks grew 4%, with trademark Coca-Cola +5%, driven by Coca-Cola Zero Sugar +16%, and Diet Coke/Coca-Cola Light +7%. Juice, value-added dairy and plant-based beverages grew 2%, water grew 6%, sports drinks grew 5%, and tea grew 6%.

Exhibit 4: KO Beat Consensus Unit Case Volume Growth In Every Region

Unit Case Volume			
	Actual	Consensus	Variance
KO	5%	2.2%	276 bps
EMEA	4%	1.5%	248 bps
LatAm	3%	2.5%	48 bps
NA	3%	1.9%	111 bps
APAC	8%	4.9%	313 bps

Source: Visible Alpha, Company data, Morgan Stanley Research

Exhibit 5: Price/Mix Missed Consensus With Large APAC Miss

Price/Mix			
	Actual	Consensus	Variance
KO	2%	2.7%	-74 bps
EMEA	1%	3.8%	-279 bps
LatAm	3%	4.0%	-100 bps
NA	4%	2.9%	109 bps
APAC	-9%	-1.1%	-789 bps

Source: Visible Alpha, Company data, Morgan Stanley Research

Softer Price/Mix Driven By APAC Weakness: KO reported +2% price/mix growth in 2Q, with +3% pricing partially offset by -1% unfavorable mix, which was primarily driven by investment timing particularly in APAC. KO attributed the soft -9% APAC price/mix result to three key reasons each similar in magnitude: 1) investment timing, 2) affordability initiatives to bring in new consumers which will continue, and 3) geographic mix dilution from faster growing countries like China that drags overall APAC price/mix down. We view the APAC pricing weakness as manageable: some of the softness reflects transitory factors, unit case growth remained strong at +8% in Q2, FY25 pricing was solid at +4%, and the region will cycle much easier pricing comparisons in Q4.

World Cup Benefit: KO did not quantify the magnitude of the World Cup benefit to Q2 performance, but highlighted that the World Cup was a successful activation, with average stadium attendance incidence of over 80% at World Cup venues, which roughly represents nearly one drink per attendee and is a World Cup record. Additionally, KO collected more than 25 million first party data points and generated more than 9 billion views through digital and social media activations, which KO expects will give it a stronger foundation to better understand consumers.

Solid Q2 Upside with Robust 5% Unit Case Growth: KO's Q2 adjusted EPS of \$0.97 was ahead of the \$0.93 VA/SA consensus, with a +2% topline beat, +3.5% gross profit beat (+110 bps GM beat), and +3% operating profit beat. Underlying organic sales growth (unit case volumes + price/mix) was +7%, ahead of the +5.0% consensus, with strong unit case volumes of +5%, above the +2.2% consensus, as well as upside vs consensus in each region, and price/mix of +2%, below the +2.7% consensus but in line with +2.0% in Q1. Reported OSG (using concentrate shipments) increased +6%, above the +3.5/3.4% VA/SA consensus, with concentrate volumes +4%, ahead of the +0.7% consensus and 100 bps below unit cases due to shipment timing.

Looking at margins, on an FX neutral ex structural basis, GM was up 40 bps yoy and OM up 20 bps yoy. KO GM came in 105 bps ahead of consensus, but SG&A as a % of sales was 60 bps greater than consensus, which we think was driven by marketing expense growth up high-teens yoy (outsized growth partially exaggerated by base period comps). As a result, OM came in at a more modest 45 bps above consensus, driving operating profit +3% ahead of consensus. Below the OP line, lower net interest expense and higher equity and other income combined added roughly 1 cent to EPS.

FY26 Guidance: Raised OSG to High-End of Prior Range and FY26 Comparable EPS Growth by 100 bps: In terms of FY changes, Coke raised FY OSG to 5%, or the

high-end of its prior 4-5% range, which still looks conservative, and comparable FX neutral EPS by 100 bps on higher OSG, with the high-end of the new range (\$3.27-3.30) 1% above the \$3.27 consensus. The FX revenue tailwind moved to the low-end of its prior 1-2% range (structural revenue impact also moved to -2-3% from -4%), but the EPS impact of FX/structural was unchanged. Other line-items were basically unchanged as shown below.

Exhibit 6: KO FY26 Guidance, as of 2Q26

KO FY26 Guidance	Guidance, as of		Consensus
	2Q26	1Q26 04/28/26	
Organic Sales Growth (%, <i>Using Concentrate Sales</i>)	~5%	4 - 5%	4.9%
Comparable EPS Growth (%)	+9 - 10%	+8 - 9%	8.9%
Comparable EPS (\$)	\$3.27 - \$3.30	\$3.24 - \$3.27	\$3.27
Constant Currency EPS Growth (Excl. acq./div.) (%)	+7 - 8%	+6 - 7%	NA
Underlying Effective Tax Rate (%)	19.9%	19.9%	20.0%
Cash Flow from Operations (\$B)	~14.6	~14.4	\$13.8
Capital Expenditures (\$B)	~\$2.2	~\$2.2	\$2.2
Additional FY26 Guidance	2Q26	1Q26 04/28/26	Consensus
Comparable Revenue FX Impact (%)	+1%	+1 - 2%	1.3%
Comparable Revenue Acq. / Div. Impact (%)	-2 - 3%	-4%	(3.9%)
Comparable EPS FX Impact (%)	+3%	+3%	NA
Comparable EPS Acq. / Div. / Struc. Impact (%)	-1%	-1%	NA
3Q26 Considerations	2Q26		Consensus
Comparable Revenue FX Impact (%)	+1%		0.7%
Comparable Revenue Acq. / Div. Impact (%)	-1%		(5.7%)
Comparable EPS FX Impact (%)	+3%		NA
Comparable EPS Acq. / Div. Impact (%)	'Minimal headwind'		NA

Source: Company data, Morgan Stanley Research

Risk Reward – Coca-Cola Co. (KO.N) Top Pick

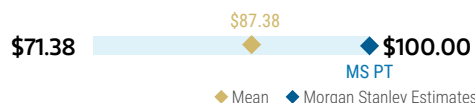
OW: OSG Structurally Higher Than Peers

PRICE TARGET \$100.00

Our PT is derived from a 26x CY28 P/E multiple, a MSD% premium to the average of where CL/PG/CHD are currently trading, despite KO's higher LT OSG.

Consensus Price Target Distribution

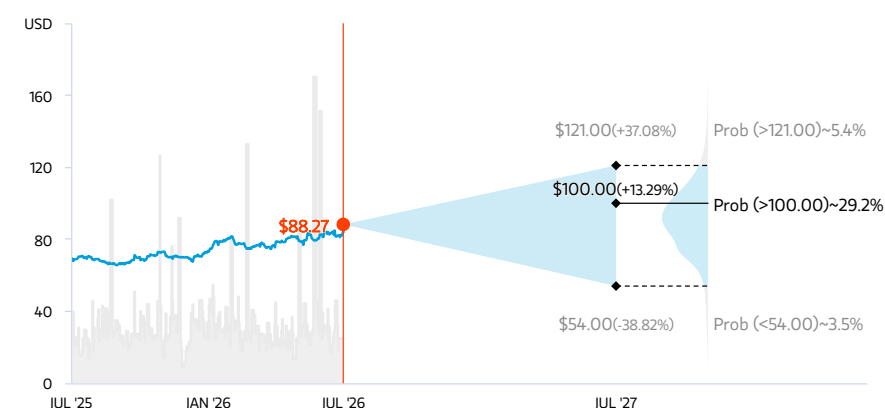
Source: Refinitiv, Morgan Stanley Research



OVERWEIGHT THESIS

We are OW Coke as its OSG pace is structurally higher than peers, supported by strong pricing power, sustained volume growth, Fairlife growth contribution, and favorable emerging market exposure. KO also offers solid margin expansion through productivity and a continued rational pricing environment.

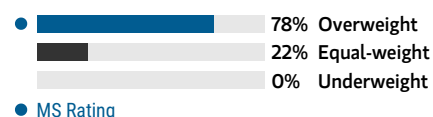
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 28 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$121.00

30x Bull Case 2028e EPS

Topline Upside: Assumes 6%+ OSG LT, with 250 bps of operating margin upside vs our base case. We assume zero impact from the tax dispute with the IRS with KO winning the appeal. KO multiple expands to 30x bull case CY28 P/E.

BASE CASE

\$100.00

26x Base Case 2028e EPS

Sustained MSD% OSG: We forecast MSD% LT topline growth driven by durable pricing power, sustained market share gains, higher growth EM market exposure, and growth for Fairlife in the US. KO's operating margins expand to ~32-33% in FY26. We apply a 26x CY28 P/E multiple.

BEAR CASE

\$54.00

15x Bear Case 2028e EPS

Topline/Margin Downside: Weaker topline from global consumer slowdown and volume deleveraging drives 200 bps of operating margin downside vs our base case. We assume 100% payment of the ~\$16B tax liability to the IRS and a 350 bps increase in KO's ETR. KO valuation contracts to 15x bear case CY28 P/E.

Risk Reward – Coca-Cola Co. (KO.N)

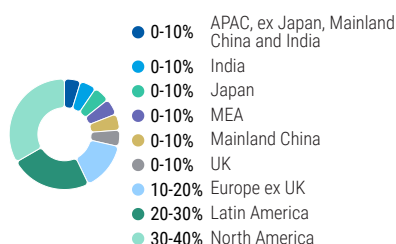
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Unit Case Volume (%)	0.0	3.4	2.1	2.2
Price/Mix (%)	4.0	2.5	3.2	3.0
Organic Sales Growth (unit case + price/mix) (%)	4.0	5.9	5.3	5.2
Gross Margin Bps Change	37.3	75.0	100.0	40.0
EPS % Growth (%)	4.1	9.8	7.2	7.5

INVESTMENT DRIVERS

- EPS growth inflection
- Post-COVID topline growth acceleration
- Working capital improvements
- FCF conversion continued improvement to 90-95%

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

Stronger than expected price/mix, stronger volume growth, greater Fairlife growth contribution, higher productivity/cost savings, and marketing efficiency.

RISKS TO DOWNSIDE

Higher than expected volume elasticities in the US and Europe, EM macro volatility, slower than expected Fairlife growth, GLP-1 and wellness pressures, negative FX movements, and unfavorable resolution of the tax dispute with the IRS.

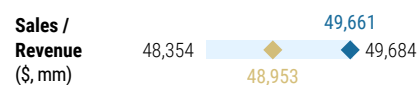
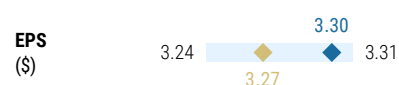
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.5%	
HF Sector Long/Short Ratio	0.9x	
HF Sector Net Exposure	-0.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 7: KO Income Statement

Income Statement	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	Mar-25	Jun-25	Sep-25	Dec-25	FY2025	Mar-26	Jun-26	Sep-26 E	Dec-26 E	FY2026E	FY2027E	FY2028E
Net Operating Revenues	37,280.0	32,999.0	38,659.0	43,046.0	45,784.0	46,897.0	11,216.0	12,617.0	12,412.0	11,817.0	48,062.0	12,471.0	13,373.0	12,877.2	10,939.5	49,660.7	49,176.9	51,737.7
% Growth	8.7%	-11.5%	17.2%	11.3%	6.4%	2.4%	-0.1%	2.5%	3.9%	3.6%	2.5%	11.2%	6.0%	3.7%	-7.4%	3.3%	-1.0%	5.2%
% Est. Organic Growth	6.0%	-9.0%	14.7%	16.0%	12.0%	13.0%	6.0%	5.0%	6.0%	5.0%	5.0%	10.0%	6.0%	3.7%	0.8%	5.1%	5.2%	5.2%
Cost of Goods Sold	-14,659.0	-13,498.0	-15,410.0	-17,817.0	-18,465.0	-18,254.0	-4,195.0	-4,766.0	-4,837.0	-4,730.0	-18,528.0	-4,699.0	-4,895.0	-4,915.3	-4,262.6	-18,771.9	-18,097.2	-18,832.6
% of Sales	39.3%	40.9%	39.9%	41.4%	40.3%	38.9%	37.4%	37.8%	39.0%	40.0%	38.6%	37.7%	36.6%	38.2%	39.0%	37.8%	36.8%	36.4%
% of Sales Bps Change	105	158	-104	153	-106	-141	-32	-79	12	-54	-37	28	-117.0827	-80	-106	-75	-100	-40
Gross Profit	22,621.0	19,501.0	23,249.0	25,229.0	27,319.0	28,643.0	7,021.0	7,851.0	7,575.0	7,087.0	29,534.0	7,772.0	8,478.0	7,961.9	6,677.0	30,888.9	31,079.7	32,905.1
Gross Margin %	60.7%	59.1%	60.1%	58.6%	59.7%	61.1%	62.6%	62.2%	61.0%	60.0%	61.4%	62.3%	63.4%	61.8%	61.0%	62.2%	63.2%	63.6%
Gross Margin Bps Change	-105	-158	104	-153	106	141	32	79	-12	54	37	-28	117	80	106	75	100	40
SG&A	-12,212.0	-9,731.0	-12,139.0	-12,884.0	-13,983.0	-14,558.0	-3,234.0	-3,470.0	-3,618.0	-4,199.0	-14,521.0	-3,472.0	-3,720.0	-3,762.1	-3,833.8	-14,787.9	-13,857.9	-14,579.0
% of Sales	32.8%	29.5%	31.4%	29.9%	30.5%	31.0%	28.8%	27.5%	29.1%	35.5%	30.2%	27.8%	27.8%	29.2%	35.0%	29.8%	28.2%	28.2%
% Growth	8.3%	-20.3%	24.7%	6.1%	8.5%	4.1%	-3.5%	-1.6%	-0.5%	3.8%	-0.3%	7.4%	7.2%	4.0%	-8.7%	1.8%	-6.3%	5.2%
% of Sales Bps Change	-14	-327	191	-147	61	50	-100	-114	-128	7	-83	-99	31	7	-49	-44	-160	0
Operating Income	10,409.0	9,770.0	11,110.0	12,345.0	13,336.0	14,085.0	3,787.0	4,381.0	3,957.0	2,888.0	15,013.0	4,300.0	4,758.0	4,199.8	2,843.2	16,100.9	17,221.8	18,326.1
Operating Margin	27.9%	29.6%	28.7%	28.7%	29.1%	30.0%	33.8%	34.7%	31.9%	24.4%	31.2%	34.5%	35.6%	32.6%	26.0%	32.4%	35.0%	35.4%
Reported % Growth	5.3%	-6.1%	13.7%	11.1%	8.0%	5.6%	4.0%	8.5%	7.8%	5.6%	6.6%	13.5%	8.6%	6.1%	-1.6%	7.2%	7.0%	6.4%
Operating Margin Bps Change	-91	169	-87	-6	45	91	133	194	116	47	120	72	86	73	155	119	260	40
Interest Income	563.0	370.0	276.0	449.0	907.0	988.0	180.0	188.0	185.0	233.0	786.0	222.0	198.0	226.3	223.1	869.4	975.7	1,253.9
Interest Expense	-946.0	-953.0	-776.0	-906.0	-1,552.0	-1,681.0	-393.0	-451.0	-397.0	-438.0	-1,679.0	-381.0	-376.0	-364.7	-370.1	-1,491.8	-1,480.5	-1,480.5
Equity Income (Loss), Net	1,149.0	1,194.0	1,451.0	1,506.0	1,850.0	1,862.0	359.0	581.0	637.0	475.0	2,052.0	417.0	593.0	624.3	479.8	2,114.0	2,283.1	2,454.4
Other Income (Loss), Net	135.0	117.0	367.0	-17.0	-138.0	79.0	28.0	47.0	69.0	50.0	194.0	117.0	57.0	71.1	51.5	296.6	311.4	327.0
Pretax Income	11,310.0	10,498.0	12,428.0	13,377.0	14,403.0	15,333.0	3,961.0	4,746.0	4,451.0	3,208.0	16,366.0	4,675.0	5,230.0	4,756.7	3,227.4	17,889.1	19,311.6	20,880.9
Taxes	-2,195.0	-2,042.0	-2,308.0	-2,545.0	-2,737.0	-2,852.0	-824.0	-987.0	-913.0	-647.0	-3,371.0	-930.0	-1,041.0	-946.6	-642.4	-3,559.9	-3,958.9	-4,385.0
Tax Rate	19.4%	19.5%	18.6%	19.0%	19.0%	18.6%	20.8%	20.8%	20.5%	20.2%	20.6%	19.9%	19.9%	19.9%	19.9%	19.9%	20.5%	21.0%
Consolidated Net Income	9,115.0	8,456.0	10,120.0	10,832.0	11,666.0	12,481.0	3,137.0	3,759.0	3,538.0	2,561.0	12,995.0	3,745.0	4,189.0	3,810.1	2,585.1	14,329.2	15,352.7	16,495.9
Less: Net Income to Noncontrolling Interests	-11.0	-21.0	-33.0	-29.0	-06.0	-18.0	-5.0	7.0	6.0	-45.0	-37.0	-42.0	-13.0	06.3	-47.3	-96.0	-100.7	-105.8
Net Income Attributable to Shareholders	9,104.0	8,435.0	10,087.0	10,803.0	11,660.0	12,463.0	3,132.0	3,766.0	3,544.0	2,516.0	12,958.0	3,703.0	4,176.0	3,816.4	2,537.8	14,233.2	15,252.0	16,390.1
EPS Diluted	\$2.11	\$1.95	\$2.32	\$2.48	\$2.69	\$2.88	\$0.73	\$0.87	\$0.82	\$0.58	\$3.00	\$0.86	\$0.97	\$0.88	\$0.59	\$3.30	\$3.54	\$3.80
EPS % Growth	1.3%	-7.5%	19.1%	6.8%	8.2%	7.3%	0.6%	4.2%	6.1%	5.8%	4.1%	18.2%	10.9%	7.7%	0.9%	9.8%	7.2%	7.5%
Basic Shares	4,275.5	4,295.0	4,314.8	4,328.5	4,323.0	4,309.0	4,302.0	4,304.0	4,303.0	4,302.0	4,303.0	4,302.0	4,303.0	4,302.0	4,301.8	4,302.2	4,301.4	4,299.4
Diluted Shares	4,313.5	4,322.8	4,339.8	4,350.8	4,338.8	4,320.3	4,313.0	4,315.0	4,313.0	4,313.0	4,313.0	4,314.0	4,313.0	4,313.0	4,312.8	4,313.2	4,312.4	4,310.4

Source: Company data, Morgan Stanley Research

Exhibit 8: KO Balance Sheet

Balance Sheet	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	Mar-25	Jun-25	Sep-25	Dec-25	FY2025	Mar-26	Jun-26	Sep-26 E	Dec-26 E	FY2026E	FY2027E	FY2028E
Assets																		
Surplus Cash	-	-	-	-	-	-	-	-	-	-	-	-	-	-	0.0	-	-	-
Cash & Cash Equivalents	6,480.0	6,795.0	9,684.0	9,519.0	9,366.0	10,828.0	8,417.0	9,590.0	12,732.0	10,270.0	10,270.0	10,574.0	12,907.0	15,655.2	12,414.9	12,414.9	16,933.2	22,634.6
Short-Term Investments	1,467.0	1,771.0	1,242.0	1,043.0	2,997.0	2,020.0	3,579.0	2,658.0	1,142.0	3,602.0	3,602.0	509.0	622.0	622.0	622.0	622.0	622.0	622.0
Marketable Securities	3,228.0	2,348.0	1,699.0	1,069.0	1,300.0	1,723.0	1,791.0	2,049.0	1,907.0	1,934.0	1,934.0	2,737.0	2,842.0	2,842.0	2,842.0	2,842.0	2,842.0	2,842.0
Receivables, Net	3,971.0	3,144.0	3,512.0	3,487.0	3,410.0	3,569.0	4,091.0	4,168.0	3,946.0	3,038.0	3,038.0	3,675.0	3,732.0	3,605.6	2,844.3	2,844.3	4,540.1	4,781.1
Inventories	3,379.0	3,266.0	3,414.0	4,233.0	4,424.0	4,728.0	5,102.0	5,082.0	4,802.0	4,425.0	4,425.0	4,730.0	4,647.0	4,718.7	3,751.1	3,751.1	4,775.6	5,574.0
Prepaid Expenses and Other Current Assets	1,886.0	1,916.0	2,994.0	3,240.0	5,235.0	3,129.0	3,198.0	3,062.0	2,718.0	2,433.0	2,433.0	2,953.0	2,688.0	2,626.9	2,231.7	2,231.7	2,516.8	2,650.4
Assets Held for Sale	-	-	-	-	-	-	-	-	-	5,342.0	5,342.0	5,212.0	5,438.0	2,938.0	2,938.0	2,938.0	2,938.0	2,938.0
Total Current Assets	20,411.0	19,240.0	22,545.0	22,591.0	26,732.0	25,997.0	26,178.0	26,609.0	27,247.0	31,044.0	31,044.0	30,390.0	32,876.0	33,008.4	27,643.9	27,643.9	35,167.7	42,042.1
Equity Method Investments	19,025.0	19,273.0	17,598.0	18,264.0	19,671.0	18,087.0	18,369.0	19,379.0	20,323.0	20,235.0	20,235.0	20,403.0	20,782.0	20,782.0	20,782.0	20,782.0	20,782.0	20,782.0
Other Investments, Principally Bottling Companies	854.0	812.0	818.0	501.0	118.0	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Assets	8,487.0	8,644.0	8,860.0	7,935.0	8,723.0	14,722.0	14,980.0	15,283.0	15,396.0	15,902.0	15,902.0	16,028.0	16,672.0	16,028.0	16,672.0	16,672.0	16,672.0	16,672.0
PP&E, Net	10,838.0	10,777.0	9,920.0	9,841.0	9,236.0	10,303.0	10,431.0	10,784.0	10,902.0	9,613.0	9,613.0	9,522.0	9,636.0	9,960.7	10,606.8	10,606.8	11,584.9	12,461.2
Trademarks with Indefinite Lives	9,375.0	10,395.0	14,465.0	14,214.0	14,349.0	13,301.0	13,425.0	13,615.0	13,515.0	12,531.0	12,531.0	12,463.0	12,500.0	12,500.0	12,500.0	12,500.0	12,500.0	12,500.0
Goodwill	16,764.0	17,506.0	19,363.0	18,782.0	18,358.0	18,139.0	18,333.0	18,663.0	18,662.0	15,491.0	15,491.0	15,411.0	15,456.0	15,456.0	15,456.0	15,456.0	15,456.0	15,456.0
Other Intangible Assets	627.0	649.0	785.0	635.0	516.0	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Assets	86,381.0	87,296.0	94,354.0	92,763.0	97,703.0	100,549.0	101,716.0	104,333.0	106,045.0	104,816.0	104,816.0	104,217.0	107,922.0	107,735.1	103,660.7	103,660.7	112,162.6	119,913.3
Liabilities																		
Short-Term Debt	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accounts Payable and Accrued Expenses	11,312.0	11,145.0	14,619.0	15,749.0	15,485.0	21,715.0	16,499.0	17,030.0	17,692.0	14,813.0	14,813.0	14,409.0	15,434.0	15,728.8	14,322.3	14,322.3	16,046.0	16,722.0
Loans and Notes Payable	10,994.0	2,183.0	3,307.0	2,373.0	4,557.0	1,499.0	5,418.0	4,379.0	2,319.0	1,551.0	1,551.0	332.0	48.0	48.0	48.0	48.0	48.0	48.0
Current Maturities of Long-Term Debt	4,253.0	485.0	1,338.0	399.0	1,960.0	648.0	163.0	91.0	1,920.0	1,822.0	1,822.0	4,493.0	6,494.0	6,494.0	6,494.0	6,494.0	6,494.0	6,494.0
Accrued Income Taxes, Other	414.0	788.0	686.0	1,203.0	1,569.0	1,387.0	1,728.0	444.0	568.0	525.0	525.0	717.0	782.0	566.6	481.3	481.3	542.8	571.7
Liabilities Held for Sale	-	-	-	-	-	-	-	-	-	2,570.0	2,570.0	2,427.0	2,442.0	1,442.0	1,442.0	1,442.0	1,442.0	1,442.0
Total Current Liabilities	26,973.0	14,601.0	19,950.0	19,724.0	23,571.0	25,249.0	23,808.0	21,944.0	22,499.0	21,281.0	21,281.0	22,378.0	25,200.0	24,279.4	22,787.6	22,787.6	24,572.9	25,277.6
Long-Term Debt	27,516.0	40,125.0	38,116.0	36,377.0	35,547.0	42,375.0	43,530.0	44,976.0	43,177.0	42,119.0	42,119.0	39,065.0	37,001.0	37,001.0	37,001.0	37,001.0	37,001.0	37,001.0
Other Liabilities	8,510.0	9,453.0	8,607.0	7,922.0	8,466.0	4,084.0	4,313.0	4,856.0	4,667.0	4,735.0	4,735.0	4,425.0	4,627.0	4,120.7	3,631.9	3,631.9	4,096.0	4,313.4
Deferred Income Taxes	2,284.0	1,833.0	2,821.0	2,914.0	2,639.0	2,469.0	2,311.0	2,375.0	2,435.0	2,406.0	2,406.0	2,615.0	2,779.0	2,526.3	2,227.3	2,227.3	2,511.9	2,645.3
Total Liabilities	65,283.0	66,012.0	69,494.0	66,937.0	70,223.0	74,177.0	73,962.0	74,151.0	72,778.0	70,541.0	70,541.0	68,483.0	69,607.0	67,927.4	65,647.9	65,647.9	68,181.8	69,237.3
Shareholders' Equity																		
Common Stock	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0	1,760.0
Capital Surplus	17,154.0	17,601.0	18,116.0	18,822.0	19,209.0	19,801.0	19,873.0	19,970.0	20,489.0	20,581.0	20,581.0	20,634.0	20,741.0	20,817.6	20,895.2	20,895.2	21,175.9	21,466.5
Reinvested Earnings	65,810.0	66,555.0	69,094.0	71,019.0	73,782.0	76,054.0	77,189.0	78,803.0	80,305.0	80,382.0	80,382.0	82,026.0	84,169.0	85,699.0	83,724.2	83,724.2	89,512.3	96,000.9
Accumulated Other Comprehensive Income (Loss)	(13,499.0)	(14,601.0)	(14,330.0)	(14,895.0)	(14,275.0)	(16,843.0)	(16,482.0)	(15,758.0)	(14,952.0)	(14,131.0)	(14,131.0)	(14,040.0)	(13,626.0)	(13,626.0)	(13,626.0)	(13,626.0)	(13,626.0)	(13,626.0)
Treasury Stock	(52,244.0)	(52,016.0)	(51,641.0)	(52,601.0)	(54,535.0)	(55,916.0)	(56,138.0)	(56,190.0)	(56,355.0)	(56,423.0)	(56,423.0)	(56,747.0)	(56,894.0)	(57,040.4)	(56,971.0)	(56,971.0)	(57,208.6)	(57,437.9)
Equity Attributable to Non-Controlling Interests	2,117.0	1,985.0	1,861.0	1,721.0	1,539.0	1,516.0	1,552.0	1,597.0	2,020.0	2,106.0	2,106.0	2,101.0	2,165.0	2,197.5	2,230.4	2,230.4	2,367.3	2,512.6
Total Shareholders' Equity	21,098.0	21,284.0	24,860.0	25,826.0	27,480.0	26,372.0	27,754.0	30,182.0	33,267.0	34,275.0	34,275.0	35,734.0	38,315.0	39,807.7	38,012.8	38,012.8	43,980.9	50,676.0
Total Liabilities & Shareholders' Equity	86,381.0	87,296.0	94,354.0	92,763.0	97,703.0	100,549.0	101,716.0	104,333.0	106,045.0	104,816.0	104,816.0	104,217.0	107,922.0	107,735.1	103,660.7	103,660.7	112,162.6	119,913.3

Source: Company data, Morgan Stanley Research

Exhibit 9: KO Cash Flow Statement

Cash Flow	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	Mar-25	Jun-25	Sep-25	Dec-25	FY2025	Mar-26	Jun-26	Sep-26 E	Dec-26 E	FY2026E	FY2027E	FY2028E
Operating Activities																		
Net Income	8,985.0	7,768.0	9,804.0	9,571.0	10,703.0	10,649.0	3,335.0	3,803.0	3,683.0	2,316.0	13,137.0	3,966.0	4,438.0	3,810.1	2,585.1	14,799.2	15,352.7	16,495.9
Depreciation and Amortization	1,365.0	1,536.0	1,452.0	1,260.0	1,128.0	1,075.0	267.0	279.0	268.0	236.0	1,050.0	264.0	266.0	241.9	218.1	990.0	1,100.6	1,207.8
Stock-Based Compensation Expense	201.0	126.0	337.0	356.0	254.0	286.0	63.0	67.0	74.0	75.0	279.0	56.0	61.0	76.6	77.6	271.2	280.7	290.5
Deferred Income Taxes	(280.0)	(18.0)	894.0	(122.0)	(2.0)	(11.0)	95.0	364.0	37.0	21.0	517.0	205.0	148.0	(252.7)	(298.9)	(198.7)	284.6	133.3
Equity Income or Loss, Net of Dividends	(421.0)	(511.0)	(615.0)	(838.0)	(1,019.0)	(802.0)	(264.0)	(123.0)	(472.0)	(179.0)	(1,038.0)	(375.0)	(145.0)	0.0	0.0	(520.0)	0.0	0.0
Foreign Currency Adjustments	91.0	(88.0)	86.0	203.0	175.0	(110.0)	50.0	61.0	16.0	64.0	191.0	33.0	74.0	0.0	0.0	107.0	0.0	0.0
Gains on Sales of Assets, Including Bottling Interests	(467.0)	(914.0)	(1,365.0)	(129.0)	(492.0)	(1,737.0)	(331.0)	(102.0)	37.0	(317.0)	(713.0)	10.0	(66.0)	0.0	0.0	(56.0)	0.0	0.0
Other Operating Charges and Tax Payments	127.0	556.0	506.0	1,086.0	1,741.0	4,000.0	0.0	38.0	0.0	1,014.0	1,052.0	10.0	(10.0)	0.0	0.0	0.0	0.0	0.0
Other Items	504.0	699.0	201.0	236.0	(43.0)	(311.0)	104.0	134.0	209.0	(306.0)	141.0	115.0	(240.0)	32.5	33.0	(59.6)	136.9	145.3
Net Change in Operating Assets and Liabilities	366.0	690.0	1,325.0	(605.0)	(846.0)	(6,234.0)	(8,521.0)	(710.0)	1,191.0	832.0	(7,208.0)	(2,263.0)	996.0	(311.1)	143.6	(1,434.5)	(756.2)	(250.8)
Net Cash Provided by Operating Activities	10,471.0	9,844.0	12,625.0	11,018.0	11,599.0	6,805.0	(5,202.0)	3,811.0	5,043.0	3,756.0	7,408.0	2,021.0	5,522.0	3,597.2	2,758.5	13,898.7	16,399.2	18,022.0
Investing Activities																		
Acquisitions of businesses, equity method investments and other	(5,542.0)	(1,052.0)	(4,766.0)	(73.0)	(62.0)	(315.0)	(42.0)	(137.0)	(177.0)	(105.0)	(461.0)	(37.0)	(162.0)	0.0	0.0	(199.0)	0.0	0.0
Purchases of Investments (Net)	2,269.0	252.0	1,029.0	(3,751.0)	(2,344.0)	949.0	(1,502.0)	838.0	1,672.0	(2,503.0)	(1,495.0)	2,044.0	(269.0)	0.0	0.0	1,775.0	0.0	0.0
Proceeds from disposals of businesses, equity method investments and other	429.0	189.0	2,180.0	4,771.0	430.0	3,485.0	748.0	225.0	47.0	2,547.0	3,567.0	2.0	(1.0)	1,500.0	0.0	1,501.0	0.0	0.0
Purchases of PP&E	(2,054.0)	(1,177.0)	(1,367.0)	(1,484.0)	(1,852.0)	(2,064.0)	(309.0)	(442.0)	(479.0)	(882.0)	(2,112.0)	(266.0)	(418.0)	(566.6)	(864.2)	(2,114.8)	(2,078.7)	(2,084.1)
Proceeds from Disposals of PP&E	978.0	189.0	108.0	75.0	74.0	40.0	8.0	5.0	8.0	(8.0)	13.0	0.0	7.0	0.0	0.0	7.0	0.0	0.0
Other Investing Activities	(56.0)	122.0	51.0	(301.0)	405.0	429.0	30.0	300.0	184.0	(93.0)	421.0	3.0	201.0	644.0	(644.0)	204.0	0.0	0.0
Net Cash Provided by (Used In) Investing Activities	(3,976.0)	(1,477.0)	(2,765.0)	(763.0)	(3,349.0)	2,524.0	(1,067.0)	789.0	1,255.0	(1,044.0)	(67.0)	1,746.0	(642.0)	1,577.4	(1,508.2)	1,173.2	(2,078.7)	(2,084.1)
Financing Activities																		
Issuances/Payments of Debt, Net	(2,068.0)	(1,552.0)	(125.0)	(2,053.0)	1,392.0	2,497.0	3,732.0	(1,148.0)	(880.0)	(632.0)	1,072.0	(1,265.0)	(296.0)	0.0	0.0	(1,561.0)	0.0	0.0
Issuances of Stock	1,012.0	647.0	702.0	837.0	539.0	747.0	159.0	64.0	20.0	70.0	313.0	155.0	96.0	70.9	290.7	612.6	773.4	853.7
Purchases of Stock for Treasury	(1,103.0)	(118.0)	(111.0)	(1,418.0)	(2,289.0)	(1,795.0)	(370.0)	(102.0)	(172.0)	(102.0)	(746.0)	(477.0)	(186.0)	(217.3)	(221.4)	(1,101.6)	(1,011.0)	(1,083.0)
Dividends	(6,845.0)	(7,047.0)	(7,252.0)	(7,616.0)	(7,952.0)	(8,359.0)	(89.0)	(2,194.0)	(2,108.0)	(4,388.0)	(8,779.0)	(2,281.0)	(2,281.0)	(2,280.1)	(4,559.9)	(11,402.0)	(9,564.6)	(10,007.3)
Net Cash Provided by (Used In) Financing Activities	(9,004.0)	(8,070.0)	(6,786.0)	(10,250.0)	(8,310.0)	(6,910.0)	3,432.0	(3,380.0)	(3,140.0)	(5,052.0)	(8,140.0)	(3,868.0)	(2,667.0)	(2,426.4)	(4,490.6)	(13,452.0)	(9,802.2)	(10,236.6)
Effect of Exchange Rate Changes on Cash	63.0	18.0	(185.0)	(170.0)	(93.0)	(957.0)	426.0	(47.0)	(16.0)	(122.0)	241.0	405.0	120.0	0.0	0.0	525.0	0.0	0.0
Net Increase (Decrease) in Cash and Cash Equivs	(2,446.0)	315.0	2,889.0	(165.0)	(153.0)	1,462.0	(2,411.0)	1,173.0	3,142.0	(2,462.0)	(558.0)	304.0	2,333.0	2,748.2	(3,240.3)	2,144.9	4,518.3	5,701.4
Cash and Cash Equivs, Beg	8,926.0	6,480.0	6,795.0	9,684.0	9,519.0	9,366.0	10,828.0	8,417.0	9,590.0	12,732.0	10,828.0	10,270.0	10,574.0	12,907.0	15,655.2	10,270.0	12,414.9	16,933.2
Cash and Cash Equivs, End	6,480.0	6,795.0	9,684.0	9,519.0	9,366.0	10,828.0	8,417.0	9,590.0	12,732.0	10,270.0	10,270.0	10,574.0	12,907.0	15,655.2	12,414.9	12,414.9	16,933.2	22,634.6

Source: Company data, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Patty Kanada, CFA; Dara Mohsenian, CFA; Eric A Serotta, CFA.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Boston Beer Company Inc, Brown-Forman Corporation, Celsius Holdings Inc, **Coca-Cola Co.**, Coca-Cola Europacific Partners, Constellation Brands Inc, Keurig Dr Pepper Inc, Molson Coors Beverage Company, Monster Beverage Corp, PepsiCo Inc., Vita Coco Company Inc.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Keurig Dr Pepper Inc, Molson Coors Beverage Company, PepsiCo Inc.. Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Brown-Forman Corporation, **Coca-Cola Co.**, Keurig Dr Pepper Inc, Molson Coors Beverage Company, PepsiCo Inc..

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Boston Beer Company Inc, Brown-Forman Corporation, Celsius Holdings Inc, **Coca-Cola Co.**, Coca-Cola Europacific Partners, Constellation Brands Inc, Keurig Dr Pepper Inc, Molson Coors Beverage Company, Monster Beverage Corp, Oatly Group AB, PepsiCo Inc., Vita Coco Company Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Celsius Holdings Inc, **Coca-Cola Co.**, Coca-Cola Europacific Partners, Constellation Brands Inc, Keurig Dr Pepper Inc, Molson Coors Beverage Company, Monster Beverage Corp, Oatly Group AB, PepsiCo Inc., Vita Coco Company Inc.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Boston Beer Company Inc, Brown-Forman Corporation, Celsius Holdings Inc, **Coca-Cola Co.**, Coca-Cola Europacific Partners, Constellation Brands Inc, Keurig Dr Pepper Inc, Molson Coors Beverage Company, Monster Beverage Corp, Oatly Group AB, PepsiCo Inc., Vita Coco Company Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Celsius Holdings Inc, **Coca-Cola Co.**, Coca-Cola Europacific Partners, Constellation Brands Inc, Keurig Dr Pepper Inc, Molson Coors Beverage Company, Monster Beverage Corp, Oatly Group AB, PepsiCo Inc., Vita Coco Company Inc.

Morgan Stanley & Co. LLC makes a market in the securities of Boston Beer Company Inc, Brown-Forman Corporation, Vita Coco Company Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

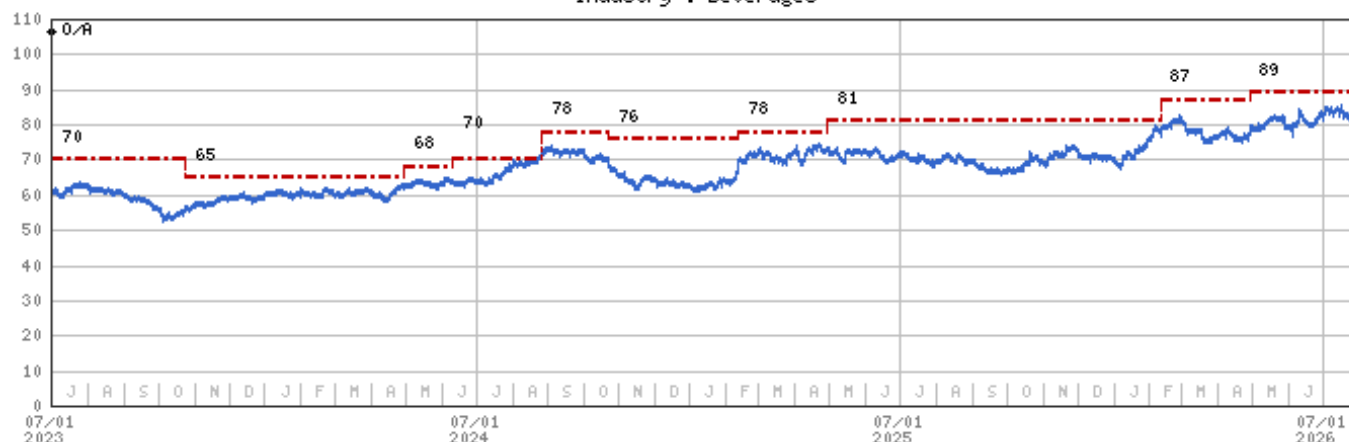
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Coca-Cola Co. (KO.N) - As of 07/29/26 GMT in USD
Industry : Beverages

Stock Rating History: 7/1/21 : O/A

Price Target History: 6/3/21 : 64; 7/21/21 : 65; 2/7/22 : 71; 2/11/22 : 76; 7/26/22 : 74; 10/3/22 : 68; 2/14/23 : 70; 10/24/23 : 65; 4/30/24 : 68; 6/10/24 : 70; 8/26/24 : 78; 10/23/24 : 76; 2/11/25 : 78; 4/29/25 : 81; 2/10/26 : 87; 4/28/26 : 89

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
 Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
 Stock and Industry Ratings (abbreviations below) appear as ★ Stock Rating/Industry View
 Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
 Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Keurig Dr Pepper Inc. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Beverages

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/28/2026)
Dara Mohsenian, CFA		
Coca-Cola Co. (KO.N)	O (07/22/2020)	\$88.27
Constellation Brands Inc (STZ.N)	E (02/27/2025)	\$132.02
Keurig Dr Pepper Inc (KDP.O)		\$31.08
Monster Beverage Corp (MNST.O)	O (11/02/2020)	\$97.74
Oatly Group AB (OTLY.O)	E (02/20/2024)	\$15.16
PepsiCo Inc. (PEP.O)	E (09/19/2024)	\$142.86
Zevia PBC (ZVIA.N)	E (08/16/2021)	\$1.61
Eric A Serotta, CFA		
Boston Beer Company Inc (SAM.N)	E (06/04/2024)	\$185.69
Brown-Forman Corporation (BFb.N)	U (06/04/2026)	\$28.90
Celsius Holdings Inc (CELH.O)	O (09/30/2025)	\$29.45
Coca-Cola Europacific Partners (CCEPC.AS)	E (08/06/2025)	€98.10
Molson Coors Beverage Company (TAP.N)	E (01/09/2018)	\$42.51
Primo Brands Corp (PRMB.N)	O (07/01/2025)	\$23.54
Vita Coco Company Inc (COCO.O)	E (09/19/2023)	\$69.58

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.